that can make your home loan a very powerful asset creation tool as well as tax savings avenue.

An education loan falls under priority sector lending and it is widely available across bankers and other lenders specialising in only education lending. One can claim a deduction on interest paid on a loan taken for pursuing higher education from taxable income under Section 80E of the Income Tax Act, 1961. According to Section 80E, the deduction is allowed on the total interest amount of the EMI paid during the financial year.

To claim the tax deduction, the borrower has to obtain a certificate from the bank wherein the principal and interest amounts of the education loan paid during the financial year need to be mentioned separately. It is because no deduction is allowed on the principal repayment amount. There is no limit on the deduction amount. The benefit of the deduction is available for a maximum of eight years or till the interest is paid, whichever is earlier and it is applicable even when you have taken the education loan for your spouse, children or for a student for whom you are the legal guardian.

However, the tax advantage should not be the driver to borrow in the first place. If you can pay for things without borrowing, you should do so. It takes a lot of smartness to earn return on savings with investments that pay you more than what it would cost to service the debt. For instance, suppose you have the money to buy something outright, but think you would pay for half of it and borrow the remaining because your savings and investments would earn more. Now assuming 10 per cent being the interest cost on a loan, if your savings or investment on the remaining sum earns you anything less than 10 per cent, you have made a bad choice.

Depending on your circumstances and risk tolerance, debt could be a good financial strategy. You can leverage your finances by borrowing, but you need to have the acumen for it and the ability to take the risks associated with borrowing. There are several investors who leverage their holdings to borrow and invest further.

This is a risky move, but for them the discipline to borrow against investments is like using an overdraft facility that is paid back in time. Facilities such as loan against shares, loan against property and loan against insurance are all features that are mostly associated as borrowing strategy under dire straits or difficult financial circumstances. However, that is not the case for seasoned investors who find this way of borrowing not only cheap, but also highly rewarding.

HOME LOAN AND TAX BENEFITS

	SECTION 80C	SECTION 24B
Nature of deduction	↘ Tax deduction on the repayment of principal amount ↘ Tax deduction for stamp duty and registration charges	Tax deduction on interest paid on home loan, provided the construction or acquisition of the house is completed within 5 years
Maximum tax deduction	**Up to Rs 1.5 lakh**	**Up to Rs 2 lakh**

NO MATTER WHICH CREDIT CARD YOU HAVE, ENSURE YOU PAY YOUR BILLS IN FULL AND ON TIME EACH MONTH TO AVOID INTEREST CHARGES ON YOUR PURCHASES

↘ TAKING ADVANTAGE OF CREDIT

Credit can help you purchase things you might not otherwise be able to afford. The advent of credit score has made borrowing for first-time and regular loan seekers complex. This three-digit number shows your creditworthiness, which essentially means lenders are able to judge your repaying capability. The score is arrived by taking several factors into play such as past payment history, credit utilisation, mix of credit usage over the years and recent credit history, among other reasons.

For those who do not have a credit history, borrowing can often become difficult. Certain lenders do offer first-time borrowers to gauge their borrowing behaviour. Sometimes, the lending rates may be higher than the base rate because of the risk that the lender is taking in extending loans to such borrowers. "Due to irregular credit card repayments, my credit score has taken a beating and because of that I am unable to borrow easily from larger banks now," says Shetty. One of the reasons for his high-interest payday loan is also to do with his poor credit score.

As a borrower, you should follow the practice of timely repayment as well as ensuring you are on track with your loan outstanding. Remember, credit costs money and when you borrow, you should look for an interest rate that is as low as possible and the repayment structure is also flexible. While home loans, education loan and the interest on credit card are all based on benchmarks prescribed by the RBI, all other loans may have variations based on the same factors. It would do good to shop for a good loan rate than go for one that comes in first.